

NVIDIA Corporation (NVDA)

Buy

Solid Beat and Raise on Hopper Gen AI and Networking Momentum

Summary

NVDA reported a solid beat and raise on Hopper generative AI and networking momentum, offset by slightly lower GMs in the outlook due to the start-up ramp of Blackwell for the January quarter.

Blackwell is undergoing a mask update to improve yields, but interestingly, there will be no change to the January quarter revenue ramp (\$B's in sales) going through next FY. Note that the functionality of Blackwell remains unchanged; the move aims to improve yields.

Jensen argued that the company's GPU roadmap is driven by two main trends: 1) accelerated compute, which has a significant ROI compared to general-purpose compute, and 2) general AI, which is still in its early stages of deployment.

There may be some weakness in the shares following a performance surpassing expectations that roughly aligned with the unofficial projections, accompanied by a modest reset in GM. Despite this, we would be buyers now that the Blackwell roadmap remains on track for the 2026 calendar year.

We reiterate our Buy rating and \$200 PT based on ~44x P/E multiple of our FY27 EPS.

Earnings Recap

Nvidia reported July sales of \$30 billion, up 15% q/q and 122% y/y, beating our/consensus estimates of \$28 billion/\$28.6 billion, respectively.

In the last quarter, NVIDIA's Data Center revenue reached \$26.3 billion, mainly due to strong demand for NVIDIA Hopper GPU computing and networking platforms. Compute revenue increased by more than 2.5 times, and networking revenue grew by more than 2 times compared to the previous year. Cloud service providers accounted for about 45% of Data Center revenue, while over 50% came from consumer internet and enterprise companies.

The July quarter's Non-GAAP gross margin of 75.7% exceeded our 75.5% estimate. The Non-GAAP EPS of \$0.68 beat our/consensus estimate of \$0.61/\$0.60, respectively.

Outlook

For the October quarter, management sees sales of \$32.5 billion +/- 2%. This is up 8% q/q and ahead of our/consensus estimates of \$29.5 billion/\$31.4 billion. Non-GAAP gross margins are expected to be 75% +/- 50 bps, lower than our/consensus estimate of 75.6%/75.4% at the midpoint. Heading into the call, our Non-GAAP EPS estimate was \$0.65 and the consensus was at \$0.66.

PRICE: \$125.61
TARGET: \$200.00

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Changes	Previous	Current
Q2 25(E) Rev (\$M)	28.00B(E)	30.04B
Q3 25(E) Rev (\$M)	29.50B	32.50B
FY 25(E) Rev (\$M)	114.54B	122.58B
FY 26(E) Rev (\$M)	150.00B	158.50B
Q2 25(E) EPS	0.61(E)	0.68
Q3 25(E) EPS	0.65	0.73
FY 25(E) EPS	2.55	2.74
FY 26(E) EPS	3.40	3.50

Price	\$125.61
Rating	Buy
Price Target	\$200.00
52-Week High	\$140.76
52-Week Low	\$39.23
Average Daily Volume (M)	383.9
Shares Outstanding (M)	24,600.0
Market Cap (\$M)	\$3,156,180
Net Debt (\$M)	\$(20,201)
CY Gross Margin	75.3%
CY Operating Margin	65.9%



YEAR	Revenue						EPS					
	Apr	Jul	Oct	Jan	Ann	EV/Rev	Apr	Jul	Oct	Jan	Ann	P/E
2024A	7.19B	13.51B	18.12B	22.10B	60.92B	18.0x	0.11	0.27	0.40	0.52	1.30	96.9x
2025E	26.04BA	30.04BA	32.50B	34.00B	122.58B	9.0x	0.61A	0.68A	0.73	0.72	2.74	45.9x
2026E	36.00B	38.50B	41.00B	43.00B	158.50B	6.9x	0.76	0.84	0.91	0.99	3.50	35.9x

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Figure 1 - RBLT/Consensus Variance vs Actuals

						RBLT			FactSet		
(\$ in millions except per share data)	Jul-23 2Q24A	Apr-24 1Q25A	Jul-24 2Q25A	Change (%)		Jul-24 2Q25A	Delta \$	Delta %	Jul-24 2Q25A	Delta \$	Delta %
				Y/Y	Q/Q						
Revenue	\$13,507	\$26,044	\$30,040	122.4%	15.3%	\$28,000	2,040.0	7.3%	\$30,040	0.0	0.0%
Gross Margin	71.2%	78.9%	75.7%	4.5 pp	-3.3 pp	75.5%	0.2 pp	0.2 pp	76.6%	-0.9 pp	-0.9 pp
R&D	1,428	1,981	2,241	56.9%	13.1%	2,150	91.0	4.2%	2,236	5.2	0.2%
SG&A	405	521	551	36.0%	5.8%	600	(49.0)	-8.2%	584	(33.5)	-5.7%
Operating Expenses	1,833	2,502	2,792	52.3%	11.6%	2,750	42.0	1.5%	\$2,820	(28.3)	-1.0%
Operating Income	7,781	18,059	19,940	156.3%	10.4%	18,390	1,550.0	8.4%	19,027	913.1	4.8%
Operating Margin	57.6%	69.3%	66.4%	8.8 pp	-3.0 pp	65.7%	0.7 pp	0.7 pp	63.3%	3.0 pp	3.0 pp
Other Income / (Expense)	120	302	380	216.7%	25.8%	0	380.0	#DIV/0!			
Pre-Tax Income	7,901	18,361	20,320	157.2%	10.7%	18,390	1,930.0	10.5%			
Pre-Tax Margin	58.5%	70.5%	67.6%	9.1 pp	-2.9 pp	65.7%	2.0 pp	2.0 pp			
Income Tax	1,156	3,123	3,365	191.1%	7.7%	3,126	238.7	7.6%			
Tax Rate	14.6%	17.0%	16.6%	1.9 pp	-0.4 pp	17.0%	-0.4 pp	-0.4 pp			
Net Income	6,745	15,238	16,955	151.4%	11.3%	15,264	1,691.3	11.1%			
EPS (Diluted)	\$0.27	\$0.61	\$0.68	152.8%	11.5%	\$0.61	0.1	11.3%	\$0.68	(0.0)	-0.3%
Diluted Shares	24,990	24,900	24,848	-0.6%	-0.2%	24,900	(52.0)	-0.2%			

Source: Company Reports, Rosenblatt Estimates, Visible Alpha, FactSet

Figure 2 - RBLT/Consensus Variance vs Management Guidance

	Guidance					RBLT			FactSet		
(\$ in millions)	Oct-23	Jul-24	Oct-24	Change (%)		Oct-24			Oct-24		
except per share data)	3Q24A	2Q25A	3Q25E	Y/Y	Q/Q	3Q25E	Delta \$	Delta %	3Q25E	Delta \$	Delta %
Revenue	\$18,120	\$30,040	\$32,500	79.4%	8.2%	\$29,500	3,000.0	10.2%	\$31,905	595.4	1.9%
Gross Margin	75.0%	75.7%	75.0%	0.0 pp	-0.7 pp	75.6%	-0.6 pp	-0.6 pp	75.2%	-0.2 pp	-0.2 pp
R&D	1,581	2,241	2,330			2,250			2,332		
SG&A	445	551	670			670			613		
Operating Expenses	2,026	2,792	3,000	48.1%	7.4%	2,920	80.0	2.7%	\$2,946	54.4	1.8%
Operating Income	11,557	19,940	21,375			19,382			21,098		
Operating Margin	63.8%	66.4%	65.8%			65.7%			66.1%		
Other Income / (Expense)	175	380	350	100.0%	-7.9%	0	350.0	#DIV/0!			
Pre-Tax Income	11,732	20,320	21,725			19,382					
Pre-Tax Margin	64.7%	67.6%	66.8%			65.7%					
Income Tax	1,712	3,365	3,693			3,295					
Tax Rate	14.6%	16.6%	17.0%	2.4 pp	0.4 pp	17.0%	0.0 pp	0.0 pp			
Net Income	10,020	16,955	18,032			16,087					
Implied EPS (Diluted)	\$0.40	\$0.68	\$0.73	81.0%	6.6%	\$0.65	0.1	12.5%	\$0.68		
Diluted Shares	24,940	24,848	24,800			24,900					

Source: Company Reports, Rosenblatt Estimates, Visible Alpha, FactSet

Business Segments

Data Center

Data Center revenue was a record \$26.3 billion, up 154% y/y and up 16% q/q. The strong growth was driven by demand for the Hopper GPU computing platform for training and inferencing large language models, recommendation engines, and generative AI applications.

Sequential growth was driven by consumer internet and enterprise companies. Cloud service providers represented roughly 45% of Data Center revenue, and over 50% stemmed from consumer internet and enterprise companies.

Solid y/y growth was driven by all compute and networking revenue customer types. Data Center compute revenue was \$22.6 billion, up 162% y/y and 17% q/q. Networking revenue was \$3.7 billion, up 114% y/y, driven by InfiniBand and Ethernet for AI revenue, which includes Spectrum-X end-to-end Ethernet platform. Networking revenue was up 16% q/q and consisted of a doubling of Ethernet for AI revenues.

Gaming

Gaming revenue of \$2.88 billion was up 16% y/y and up 9% q/q. These increases reflect higher sales of GeForce RTX 40 Series GPUs and game console SOCs.

Professional Visualization

Professional Visualization revenue of \$454 million, up 20% y/y and 6% q/q. These increases were driven by the continued ramp of RTX GPU workstations based on the Ada architecture.

Automotive

Automotive revenue of \$346 million was up 37% y/y and up 5% q/q. These increases were driven by AI Cockpit solutions and self-driving platforms.

Balance Sheet & Cash Flow

Cash, cash equivalents, and marketable securities were \$34.8 billion, up from \$16.0 billion y/y and \$31.4 billion q/q. The increases primarily reflect higher revenue partially offset by higher cash taxes, stock repurchases, and repayment of \$1.25 billion notes at maturity.

Accounts receivable was \$14.1 billion with 43 days of sales outstanding (DSO). Accounts receivable reflects \$2.8 billion of customer payments received prior to next quarter's invoice due date. Inventory was \$6.7 billion, with 81 days of inventory sales (DSI). Purchase commitments and obligations for inventory and manufacturing capacity were \$27.8 billion, including new commitments for Blackwell capacity and components.

Prepaid supply agreements were \$4.7 billion. Other non-inventory purchase obligations were \$12.0 billion, including \$9.8 billion of multi-year cloud service agreements.

Cash flow from operating activities was \$14.5 billion, up from \$6.3 billion y/y and down from \$15.3 billion q/q.

The company utilized \$7.4 billion in cash toward shareholder returns, including \$7.2 billion in share repurchases and \$246 million in cash dividends. Dividends increased by 150% to one cent per share in the second quarter. The company's board of Directors approved an additional \$50.0 billion for share repurchasing.

Estimates

We increase our 3QFY25 sales and Non-GAAP EPS estimates to \$32.5 billion and \$0.73.

For FY25, we increase our sales estimates to \$122.6 billion and move our Non-GAAP EPS to \$2.74.

For FY26 estimates, we are modeling revenue to be \$158.5 billion and Non-GAAP EPS of \$3.50.

For FY27 estimates, we are modeling revenue to be \$198.5 billion and Non-GAAP EPS of \$4.50.

Figure 3 - RBLT 3Q25 Old vs New Estimates

(\$ in millions except per share data)	3Q25E				
	RBLT Old	RBLT New	Delta (%/\$)	FactSet	Delta (%/\$)
Revenue	\$29,500	\$32,500	10.2%	\$31,905	1.9%
<i>Y/Y % Change</i>	62.8%	79.4%		76.1%	
<i>Q/Q % Change</i>	5.4%	8.2%		6.2%	
Gross Margin	75.6%	75.0%	-0.6 pp	75.2%	-0.2 pp
Operating Expenses	2,920	3,000	2.7%	2,946	1.8%
Operating Margin	65.7%	65.8%	0.1 pp	66.1%	-0.4 pp
EPS (Diluted)	\$0.65	\$0.73	0.08	\$0.68	0.05

Source: Company Reports, Rosenblatt Estimates, Visible Alpha, FactSet

Figure 4 - RBLT FY25 Old vs New Estimates

(\$ in millions except per share data)	FY25E				
	RBLT Old	RBLT New	Delta (%/\$)	FactSet	Delta (%/\$)
Revenue	\$114,544	\$122,584	7.0%	\$121,633	0.8%
Y/Y % Change	88.0%	101.2%		99.7%	
Gross Margin	76.4%	75.3%	-1.1 pp	75.9%	-0.6 pp
Operating Expenses	11,282	11,494	1.9%	11,400	0.8%
Operating Margin	66.5%	65.9%	-0.6 pp	65.8%	0.1 pp
EPS (Diluted)	\$2.56	\$2.74	0.18	\$2.65	0.09

Source: Company Reports, Rosenblatt Estimates, Visible Alpha, FactSet

Figure 5 - RBLT FY26 Old vs New Estimates

(\$ in millions except per share data)	FY26E				
	RBLT Old	RBLT New	Delta (%/\$)	FactSet	Delta (%/\$)
Revenue	\$150,000	\$158,500	5.7%	\$169,124	-6.3%
Y/Y % Change	31.0%	29.3%		39.0%	
Gross Margin	77.0%	74.7%	-2.3 pp	75.6%	-0.9 pp
Operating Expenses	13,410	14,000	4.4%	15,064	-7.1%
Operating Margin	68.1%	65.9%	-2.2 pp	65.7%	0.2 pp
EPS (Diluted)	\$3.40	\$3.50	0.10	\$3.64	(0.14)

Source: Company Reports, Rosenblatt Estimates, Visible Alpha, FactSet

NVIDIA Corp. (NVDA)**Quarterly Income Statement**

(in USD millions, except per share data)

Last Updated: 08/28/2024

FY End: January	FY23A	Apr-23 1Q24A	Jul-23 2Q24A	Oct-23 3Q24A	Jan-24 4Q24A	FY24E	Apr-24 1Q25A	Jul-24 2Q25A	Oct-24 3Q25E	Jan-25 4Q25E	FY25E	Apr-25 1Q26E	Jul-25 2Q26E	Oct-25 3Q26E	Jan-26 4Q26E	FY26E	FY27E
Revenue	\$26,974	\$7,192	\$13,507	\$18,120	\$22,103	\$60,922	\$26,044	\$30,040	\$32,500	\$34,000	\$122,584	\$36,000	\$38,500	\$41,000	\$43,000	\$158,500	\$198,500
Cost of Revenue	11,009	2,398	3,893	4,537	5,144	15,972	5,483	7,308	8,125	9,350	30,266	9,900	10,010	10,250	9,890	40,050	47,640
Gross Profit	15,965	4,794	9,614	13,583	16,959	44,950	20,561	22,732	24,375	24,650	92,318	26,100	28,490	30,750	33,110	118,450	150,860
Operating Expenses:																	
Research & Development (GAAP)	7,338	1,875	2,040	2,294	2,465	8,674	2,720	3,090	3,599	3,548	12,957	3,567	3,678	4,248	4,085	15,579	18,430
Research & Development	5,352	1,339	1,428	1,581	1,747	6,095	1,981	2,241	2,330	2,450	9,002	2,550	2,600	2,650	2,700	10,500	11,950
Selling, General, and Administrative (GAAP)	2,440	633	622	689	711	2,655	777	842	1,142	1,164	3,926	1,185	1,253	1,485	1,463	5,386	7,169
Selling, General, and Administrative	1,573	407	405	445	463	1,720	521	551	670	750	2,492	800	850	900	950	3,500	4,350
Total Operating Expenses (GAAP)	9,778	2,508	2,662	2,983	3,176	11,329	3,497	3,932	4,742	4,712	16,883	4,752	4,932	5,733	5,548	20,965	25,599
Total Operating Expenses	6,925	1,746	1,833	2,026	2,210	7,815	2,502	2,792	3,000	3,200	11,494	3,350	3,450	3,550	3,650	14,000	16,300
Operating Income	9,040	3,048	7,781	11,557	14,749	37,135	18,059	19,940	21,375	21,450	80,824	22,750	25,040	27,200	29,460	104,450	134,560
Total Other Income / (Expense) (GAAP)	(43)	69	181	105	491	846	370	572	572	0	1,514	0	0	0	0	0	0
Total Other Income / (Expense)	6	84	120	175	232	611	302	380	350	0	1,032	0	0	0	0	0	0
Pre-Tax Income	9,046	3,132	7,901	11,732	14,981	37,746	18,361	20,320	21,725	21,450	81,856	22,750	25,040	27,200	29,460	104,450	134,560
Income Tax	681	423	1,156	1,712	2,142	5,433	3,123	3,365	3,693	3,647	13,828	3,868	4,257	4,624	5,008	17,757	22,875
Net Income (GAAP)	5,721	2,043	6,188	9,243	12,285	29,759	14,881	16,599	16,608	16,972	65,060	18,705	20,224	21,274	22,805	83,009	105,285
EPS (Diluted) (GAAP)	\$0.23	\$0.08	\$0.25	\$0.37	\$0.49	\$1.19	\$0.60	\$0.67	\$0.67	\$0.68	\$2.62	\$0.75	\$0.82	\$0.86	\$0.92	\$3.35	\$4.25
Net Income	8,365	2,709	6,745	10,020	12,839	32,313	15,238	16,955	18,032	17,804	68,028	18,883	20,783	22,576	24,452	86,694	111,685
EPS (Diluted)	\$0.33	\$0.11	\$0.27	\$0.40	\$0.52	\$1.30	\$0.61	\$0.68	\$0.73	\$0.72	\$2.74	\$0.76	\$0.84	\$0.91	\$0.99	\$3.50	\$4.50
Shares																	
Diluted Shares Outstanding (GAAP)	25,073	24,900	24,990	24,940	24,900	24,933	24,900	24,848	24,800	24,800	24,837	24,800	24,800	24,800	24,800	24,800	24,800
Diluted Shares Outstanding	25,114	24,900	24,990	24,940	24,900	24,933	24,900	24,848	24,800	24,800	24,837	24,800	24,800	24,800	24,800	24,800	24,800
Dividend per Share	\$0.40	\$0.00	\$0.00	\$0.00	\$0.00	\$0.02	\$0.01	\$0.01	\$0.01	\$0.01	\$0.04	\$0.01	\$0.01	\$0.01	\$0.01	\$0.04	\$0.04
% of Revenues																	
Gross Margin (GAAP)	56.9%	64.6%	70.1%	74.0%	76.0%	72.7%	78.4%	75.1%	74.4%	74.0%	75.3%	75.8%	76.1%	76.5%	76.8%	76.3%	76.8%
Gross Margin	59.2%	66.7%	71.2%	75.0%	76.7%	73.8%	78.9%	75.7%	75.0%	72.5%	75.3%	72.5%	74.0%	75.0%	77.0%	74.7%	76.0%
Research & Development	19.8%	18.6%	10.6%	8.7%	7.9%	10.0%	7.6%	7.5%	7.2%	7.2%	7.3%	7.1%	6.8%	6.5%	6.3%	6.6%	6.0%
Selling, General, and Administrative	5.8%	5.7%	3.0%	2.5%	2.1%	2.8%	2.0%	1.8%	2.1%	2.2%	2.0%	2.2%	2.2%	2.2%	2.2%	2.2%	2.2%
Operating Expenses	25.7%	24.3%	13.6%	11.2%	10.0%	12.8%	9.6%	9.3%	9.2%	9.4%	9.4%	9.3%	9.0%	8.7%	8.5%	8.8%	8.2%
Operating Margin (GAAP)	20.7%	29.8%	50.3%	57.5%	61.6%	54.1%	64.9%	62.1%	59.8%	60.1%	61.5%	62.6%	63.3%	62.5%	63.9%	63.1%	63.9%
Operating Margin	33.5%	42.4%	57.6%	63.8%	66.7%	61.0%	69.3%	66.4%	65.8%	63.1%	65.9%	63.2%	65.0%	66.3%	68.5%	65.9%	67.8%
Pretax Margin	33.5%	43.5%	58.5%	64.7%	67.8%	62.0%	70.5%	67.6%	66.8%	63.1%	66.8%	63.2%	65.0%	66.3%	68.5%	65.9%	67.8%
Tax Rate	7.5%	13.0%	14.6%	14.6%	14.3%	14.4%	17.0%	16.6%	17.0%	17.0%	16.9%	17.0%	17.0%	17.0%	17.0%	17.0%	17.0%
Net Margin	31.0%	37.7%	49.9%	55.3%	58.1%	53.0%	58.5%	56.4%	55.5%	52.4%	55.5%	52.5%	54.0%	55.1%	56.9%	54.7%	56.3%
Year-over-Year % Change																	
Revenue	0.2%	-13.2%	101.5%	205.5%	265.3%	125.9%	262.1%	122.4%	79.4%	53.8%	101.2%	38.2%	28.2%	26.2%	26.5%	29.3%	25.2%
Gross Profit	-11.1%	-13.8%	212.8%	308.0%	324.1%	181.6%	328.9%	136.4%	79.5%	45.4%	105.4%	26.9%	25.3%	26.2%	34.3%	28.3%	27.4%
Research & Development	35.5%	9.3%	4.8%	13.8%	27.0%	13.9%	47.9%	56.9%	47.4%	40.2%	47.7%	28.7%	16.0%	13.7%	10.2%	16.6%	13.8%
Selling, General, and Administrative	18.6%	6.3%	4.7%	10.1%	16.0%	9.3%	28.0%	36.0%	50.6%	62.0%	44.9%	53.6%	54.3%	34.3%	26.7%	40.4%	24.3%
Operating Expenses	31.2%	8.6%	4.8%	13.0%	24.5%	12.9%	43.3%	52.3%	48.1%	44.8%	47.1%	33.9%	23.6%	18.3%	14.1%	21.8%	16.4%
Operating Income	-28.8%	-22.9%	487.2%	652.4%	563.2%	310.8%	492.5%	156.3%	85.0%	45.4%	117.6%	26.0%	25.6%	27.3%	37.3%	29.2%	28.8%
Net Income	-25.7%	-21.3%	422.1%	588.2%	490.6%	286.3%	462.5%	151.4%	80.0%	38.7%	110.5%	23.9%	22.6%	25.2%	37.3%	27.4%	28.8%
EPS	-92.5%	-19.8%	425.6%	594.1%	487.5%	289.1%	462.5%	152.8%	81.0%	39.2%	111.3%	24.4%	22.8%	25.2%	37.3%	27.6%	28.8%
Dividend	0.0%	-97.5%	-97.5%	-90.0%	-90.0%	-96.0%	150.0%	150.0%	150.0%	150.0%	150.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%
Sequential Change																	
Revenue		18.9%	87.8%	34.2%	22.0%		17.8%	15.3%	8.2%	4.6%		5.9%	6.9%	6.5%	4.9%		
Gross Profit		19.9%	100.5%	41.3%	24.9%		21.2%	10.6%	7.2%	1.1%		5.9%	9.2%	7.9%	7.7%		
Research & Development		-2.7%	6.6%	10.7%	10.5%		13.4%	13.1%	4.0%	5.2%		4.1%	2.0%	1.9%	1.9%		
Selling, General, and Administrative		2.0%	-0.5%	9.9%	4.0%		12.5%	5.8%	21.6%	11.9%		6.7%	6.3%	5.9%	5.6%		
Operating Expenses		-1.6%	5.0%	10.5%	9.1%		13.2%	11.6%	7.4%	6.7%		4.7%	3.0%	2.9%	2.8%		
Operating Income		37.1%	155.3%	48.5%	27.6%		22.4%	10.4%	7.2%	0.4%		6.1%	10.1%	8.6%	8.3%		
Net Income		24.6%	149.0%	48.6%	28.1%		-52.8%	11.3%	6.4%	-1.3%		6.1%	10.1%	8.6%	8.3%		
EPS		24.0%	148.1%	48.9%	28.3%		-52.8%	11.5%	6.6%	-1.3%		6.1%	10.1%	8.6%	8.3%		

Source: Company Reports and Rosenblatt Estimates

Estimates						Revenue				
Ticker	Rating	Price	Price Target	Market Cap (\$M)	EV (\$M)	2025	2025 Growth	2026	2026 Growth	CY Gross Margin
NVDA	Buy	\$125.61	\$200.00	\$3,156,180	\$1,099,160	122.58B	101.21%	158.50B	29.3%	75.3%
Valuation		EPS								
Ticker	2025	2025 Growth	2026	2026 Growth	2025 P/E	2026 P/E	2025 EV/Rev	2026 EV/Rev	CY Operating Margin	
NVDA	2.74	111.34%	3.50	27.63%	45.9x	35.9x	9.0x	6.9x	65.9%	

Company Description

NVIDIA Corporation designs, develops, and markets three dimensional (3D) graphics processors and related software. The Company offers products that provides interactive 3D graphics to the mainstream personal computer market.

Valuation Summary

We see an unconstrained fiscal year 2027 EPS of \$4.50, and we are applying a ~44x P/E multiple, which drives our \$200 PT within NVDA's historical 37x-69x forward PE range, justified by more robust Data Center demand dynamics.

Risks

Downside Risks

- Part of our thesis is that NVDA will maintain its leadership in the GPU market. Any decline in market share or increased competition in the GPU market could lead to revenue declines.
- NVDA participates in a competitive landscape that has very few/mature players. A lack of execution on the company's product roadmap could lead to customers changing hands, which would lead to a decline in revenues.
- The semiconductor industry, which NVDA plays in, is highly cyclical. Any global economic slowdown/macroeconomic uncertainty (potentially from COVID-19) can derail the semiconductor industry as a whole and, in turn, place pressure on NVDA's revenues.

Required Disclosures

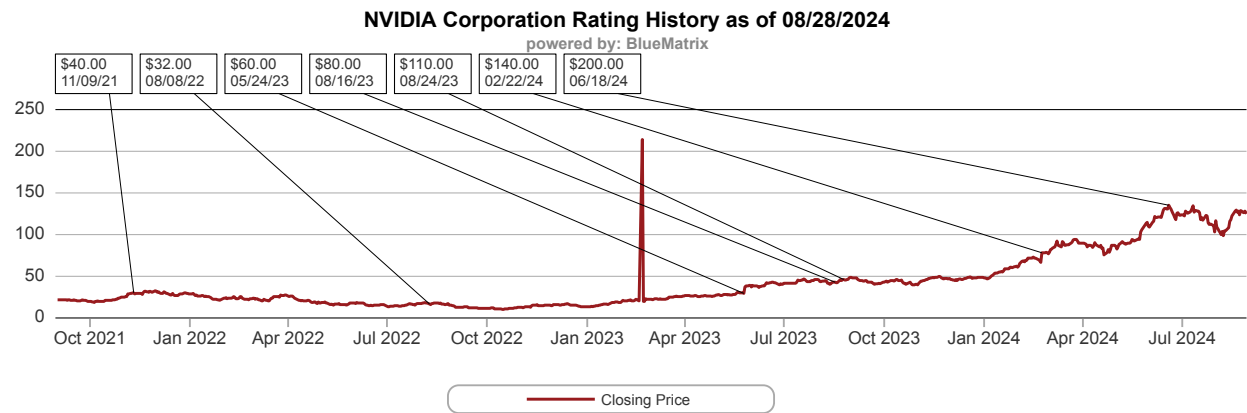
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Distribution of Ratings/IB Services				
Rating	Count	Percent	IB Serv./Past 12 Mos.	
			Count	Percent
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SELL	4	3.48	0	0

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